

## 9708 November 2016 v11

1-C:

\_In the **short run**, at-least, one factor of production is considered fixed while the other factors can be variable. The fixed factor is usually capital, such as buildings, machinery, or equipment, which cannot be easily adjusted in the short run. On the other hand, variable factors like labor and raw materials can be changed or varied to some extent in response to changes in demand or market conditions.

For example, in a manufacturing plant, the size of the facility and the machinery would be considered fixed in the short run. The firm cannot easily change or expand its production capacity or acquire new equipment in the short run.

\_The long run represents a time period in which all factors of production are variable and can be adjusted. Firms have the flexibility to modify their capital equipment or adopt new technologies. **Therefore, an attempt to install capital equipment by industry X represents the long run, since installation is a long-run process, that cannot be done quickly.**

\_The very long run refers to an extended time period in which not only can all factors of production be varied, but there can also be changes in the industry structure and technology, which requires investment in research and development. **Therefore, an attempt by industry Y to research and introduce a new technology represents a very long-run process.**

**This is why, option C is correct.**

2-B:

Currently, we are operating at T, which represents that “OS” of consumer goods and “OR” of capital goods are being produced.

The opportunity cost of “OS” of consumer goods will be written in terms of capital goods.

In total, OP of capital goods could have been produced, but only OP is being produced, which means that the opportunity cost will be “PR” of capital goods that can be foregone.

This is why, only option B can be correct

3-D:

The production possibility curve has shifted in such a way that only the output of manufactured goods has increased, representing a rise in “productivity of manufactured technology”

A – A fall in productivity in manufacturing would have resulted in an inward shift in the PPC, and a fall in the output of manufactured goods.

B- A fall in the price of manufactured goods would increase international demand, resulting in a rise in export revenues, which will increase Aggregate demand, as a result of which, the **actual output increases**

C- Again, a higher demand for manufactured goods represents an increase in consumption expenditure, which will increase Aggregate demand, as a result of which, the actual output increases.

D – An improvement in the manufacturing technology would result in an improvement in the productivity in manufacturing, resulting in a rise in the output of the manufactured goods, making this option correct.

4-C:

-Flood defense schemes are an example of **pure public goods** as they are non-rivalrous in nature, that is, when consumption by one individual does not reduce the consumption for another individual. Moreover, they are also non-excludable as payment by one individual does not restrict others from enjoying the benefits of flood defense schemes, as even the non-tax payers get to consume it.

-Sandbags **that are purchased by households and involve a transaction represent private goods**. This is because they exhibit the characteristics of rivalry, which is when consumption by one individual reduces the amount available for others. They are also excludable as payment by one individual restricts others from enjoying the benefits of sandbags. Since “price mechanism” plays a key-role in determining resource-allocation, prices act as a rationing mechanism that is when individuals who do not possess sufficient willingness and ability or in other words effective demand are excluded from purchasing the good.

This explains why C will be answer.

5-A:

A-A fall in employment when results in less incomes would result in a fall in demand for air travel, that is, a normal good, therefore resulting in a rightward shift in the demand curve, making this option correct

B-Aviation fuel is the factor of production ‘land’ that is used to operate the aircraft, a fall in its price will reduce the cost of operation of airlines, thereby bringing a rightward shift in the supply curve, instead of affecting the demand.

C-An increase in road congestion as a result of a rise in road travel, will result in individual switching towards air travel, leading to an increase in its demand..

D -An increase in the price of train travel, that is the substitute causes an increase in the demand for airline, since there is a positive relationship between the price of one good and the demand for another, thus making it incorrect

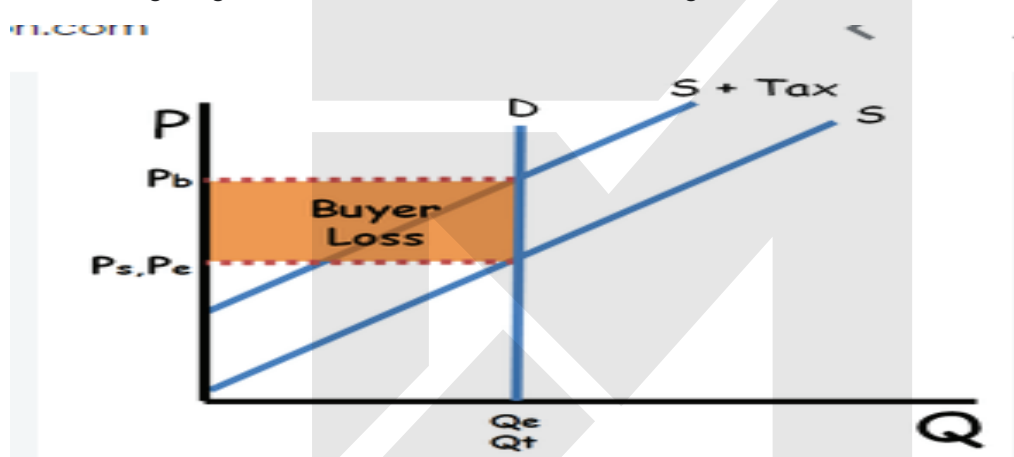
6-C:

a- A change in the state of technology brings about a shift in the supply curve of a commodity thus making it incorrect.

- b- A rise in price of a factor input increases the cost of production, thereby causing the supply curve to shift leftwards.
- c- A rise in the price of the commodity causes the quantity supplied to extend, or a movement along the supply curve, rather than bringing about a shift in the supply curve, this is why this is the correct answer.
- d- The introduction of a specific tax- that is a type of indirect tax ,in which the per unit tax remains fixed, increases the cost of production of producer, thereby bringing a leftward shift in the supply curve.

7-B:

If a specific tax had been imposed and the complete burden of the tax is passed to consumers in form of higher prices, that is, the equilibrium price rises by the same amount of the tax, this represents that “demand is perfectly inelastic”, that is when there are no substitutes available for a product, in case of life saving drugs or blood. This can be seen in the diagram below:



This explains why, key B is correct

Key D , which says that nothing can be determined about price elasticity of demand, is incorrect

Key A, perfectly elastic demand can not be the case, since in that case, there would have been no change in prices.

Key C, unitary demand can not be the case, since in that situation, price would not rise by full amount

8-B:

A – Since the value of YED is -1.5, it is correct that it is an inferior good ,but the value of +0.12 of XED with another product does not mean that the other product is complement.

**B: The negative value of YED suggests that the good is inferior good, similarly the positive value of XED suggests that the other product is a substitute, this is why this option is correct.**

C: It is not a normal good, had it been a normal good ,the value of YED should have been positive , neither is this a complement because complementary goods generate a negative value of XED.

D: As mentioned above ,because of the positive value of XED ,the products are said to be substitutes, however the product is not a normal good because the value of YED is negative

9-B :

A-Low value of price elasticity of supply does not mean that the product has a lower opportunity cost.

B-Because of the low value of price elasticity of supply ,it can be understood that the price elasticity of supply is relatively inelastic ,an important reason for that might be that because the product is perishable in nature , which means that it cannot be stored for a longer period of time ,and dwindling stocks mean that the producers cannot easily respond to changes in demand .This is why ,this is correct.

C and D: Classifications about whether the product is an inferior good or a necessity good cannot be done through price-elasticity of supply . Information about income-elasticity is important to distinguish between these goods.

10-B:

Price  
Old: 10  
New: 12  
+20%

Quantity  
Old: 100  
New: x  
increase by 10%

$$PES = \frac{\% \text{ change in QS}}{\% \text{ change in price}}$$

$$0.5 = \frac{x}{20\%}$$
  
$$x = 10\%$$

$$\rightarrow (100 + 10\%) \times 100$$
  
$$\rightarrow 110\% \times 100$$
  
$$\rightarrow 110 \Rightarrow \text{New qty supplied}$$

11-B:

Consumption is identified through the demand curve.

Earlier, when imports were being done, domestic consumption was "OW"

But now after the supply curve of imports shifts leftwards due to bad harvests, the fact that the new price level is above the domestic equilibrium represents that **imports fall to zero**, as individuals would choose to purchase it domestically, at relatively cheaper prices.

And at the domestic equilibrium, the quantity demanded will be OV, representing that there has been a **fall in consumption** by VW.

This explains why B is correct

12-C:

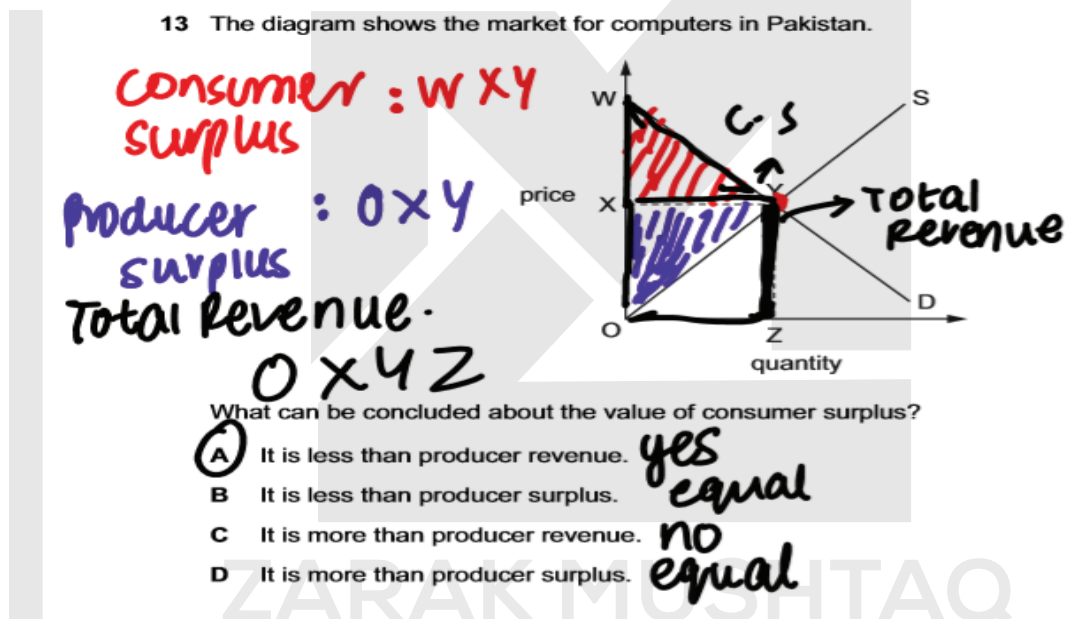
A-The function of the price fall is to eliminate surpluses, as because of this the quantity supplied contracts, and quantity demanded extends thereby bringing the market into a state of equilibrium. It does not bring about an elimination in shortages.

B-A price fall increases consumer surplus rather than decreasing it.

C-A price fall as a result of a fall in demand causes the producer surplus to fall, and provides a “**signal**” to the producer to contract quantity supplied, because the incentive of profits falls; Total Revenue falls.

D-Price fall brings about an extension in quantity demanded instead of stimulating a further fall in demand.

13-A:



14-D:

A - Not all consumers will gain, only the ones able to obtain it on a first come first serve basis will benefit. However, it is true that the producers will lose, they will experience a fall in producer surplus and Total Revenue.

b- Not all consumers will gain, only the ones able to obtain it on a first come first serve basis will benefit. However, producers are likely to lose instead of gain as they experience a fall in producer surplus and Total Revenue.

c-Some consumers will gain who are able to obtain it on a first come first serve basis will experience a rise in consumer surplus and a fall in total expenditure, however due to resultant shortages, some

consumers are likely to lose. Moreover, producers will lose, instead of gaining therefore overall this option is incorrect.

D - Some consumers will gain who are able to obtain it on a first come first serve basis will experience a rise in consumer surplus and a fall in total expenditure, however due to resultant shortages, some consumers are likely to lose. And since, due to maximum price legislation, producers contract quantity supplied which results in a fall in total Revenue, they are likely to lose thus making this option correct.

15-B: It can be seen that the "average rate of tax" increases as income rises, and the marginal rate of tax remains constant

Average rate of tax =  $\frac{\text{Tax}}{\text{Income}}$

↳ Income under 10,000 is not taxed.  
 ↳ Above 10,000, tax rate of 30% is applied on all additional income.

\* A person's income is 20,000  
 \* Taxable allowance: 10,000  
 \* Tax =  $(30\% \times 10,000) \Rightarrow 3000$   
 \* Average rate of tax  $\Rightarrow \frac{3000}{20,000} \times 100$   
 \* **15%**

\* A person's income is 30,000  
 \* Taxable allowance: 10,000  
 \* Tax =  $(30\% \times 20,000) \Rightarrow 6000$   
 \* Average rate of tax  $\Rightarrow \frac{6000}{30,000} \times 100$   
 \* **30%**

\* At income level of 20,000, the tax paid is 3000

\* At income level of 30,000, the tax paid is 6000

\* marginal rate of tax =  $\frac{\text{change in tax} \times 100}{\text{change in income}}$

\*  $\frac{3000}{10,000} \times 100 \Rightarrow 30\%$

\* At income level of 40,000, the tax paid will be.

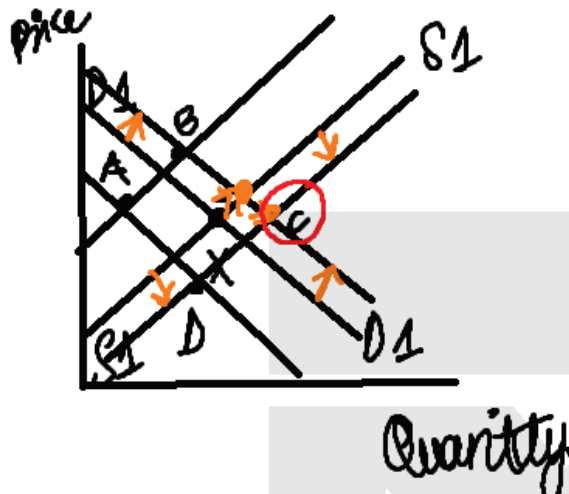
$30,000 \times 30\% \Rightarrow 9000$

\* marginal rate of tax  $\Rightarrow$

$\frac{9000 - 6000}{10,000} \times 100 \Rightarrow 30\%$

16-C:

A government providing grant of money to students will cause the demand curve to shift rightwards, and government's attempts to subsidize colleges, causes a rightward shift in the supply curve since subsidy is a financial incentive : a cash or grant payment given by the government to the producer which reduces their cost of production, encouraging them to increase their supply. A new equilibrium point will be achieved from x (initial equilibrium ) to point C.



17-D:

A – A profit is the surplus left after total costs have been deducted from total revenue; and it is the reward received by an entrepreneur, in return for risk taking. A corresponding contribution has been made to output , which means that this is not a “transfer payment”

B- Revenue is price multiplied by qty. A corresponding contribution has been made to output , which means that this is not a “transfer payment”

C- Again, a salary is paid to an individual in return of his efforts in the workplace ,and since a service is received in exchange, this is not a “transfer payment”

D- A transfer payment is a payment made without receiving a good or service in exchange, which is why, option D will be correct

18-D:

Budget deficit is when government spending is greater than tax revenue.

A – A decrease in tax revenue of the government obtained from vehicle tax will reduce tax revenues relative to government spending, leading to an increase in “budget deficit”

B – An increase in the rate of subsidies after having increased public spending will further increase the budget deficit.

C – A purchase of two warships for the national defense will again increase government spending relative to tax revenue, leading to an increase in budget deficit

D – A sale of publicly owned energy company will help receive funds, and a rise in revenues earned will reduce the deficit

19-B:

We are interested in an option that will lead to an increase in Aggregate demand and an increase in Aggregate supply

A – A decrease in corporation tax will increase the retained earnings available with the producer, and when sufficient funds are available for re-investment, this will lead to an increase in “investment expenditure”, which since represents injections in to the circular flow, will lead to an increase in Aggregate demand. But , a decrease in labor productivity after having increased costs will lead to a decrease in Aggregate supply.

B \_ A decrease in interest rates will reduce the costs of borrowing and therefore increase investment expenditure , thereby increasing Aggregate demand. And, a decrease in electricity prices after reducing costs will increase Aggregate Supply, making this option correct.

C – An increase in interest rates after having increased costs of borrowing will reduce investment expenditure, subsequently reducing Aggregate demand. And, an increase in raw material costs after increasing costs, will reduce Aggregate Supply, in turn making this incorrect.

D- An increase in marginal rate of tax representing a rise in progressive taxation, for example: income tax, will reduce the disposable income of the producer , and after having reduced purchasing powers of individuals, this will lead to a fall in Aggregate demand . Similarly , a decrease in labor productivity after having increased costs will reduce Aggregate supply, making this incorrect

20-D:

|          | Weight =<br>Share of income<br>Spent on the<br>good | Changes in<br>prices + 100<br>Price Index: | Weighted<br>price index:<br>Weight $\times$ Index | <p>old WPI = 100</p> <p>The difference between weighted price indices of two years (125-100) represents the rate of inflation, which is 25%.</p> |
|----------|-----------------------------------------------------|--------------------------------------------|---------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------|
| clothing | $\rightarrow 25\% \rightarrow 0.25$                 | $100 + 25 = 125$                           | $0.25 \times 125 = 31.25$                         |                                                                                                                                                  |
| food     | $\rightarrow 50\% \rightarrow 0.5$                  | $100 + 50 = 150$                           | $0.5 \times 150 = 75$                             |                                                                                                                                                  |
| fuel     | $\rightarrow 25\% \rightarrow 0.25$                 | $100 - 25 = 75$                            | $0.25 \times 75 = 18.75$                          |                                                                                                                                                  |
|          |                                                     |                                            | <u>125</u>                                        |                                                                                                                                                  |

Real Income = Rate of rise of nominal income - Rate of inflation

$$\Rightarrow +25\% - 25\%$$

$$\Rightarrow 0$$

↳ The Real income remains unchanged

21-A:

**Negative inflation represents deflation that is a persistent and a sustained fall in the general price level over a given period of time.**

A: Deflation, as represented through a fall in CPI, represents a fall in the cost of living, thus making this correct.

B: In a period of deflation, the purchasing power of money increases, instead of falling, thus making this incorrect.

C: Where a good deflation in an economy occurring as a result of an increase in Aggregate supply brings about a decrease in prices and an increase in employment at the same time, representing non-inflationary growth, bad deflation in an economy occurring as a result of a decrease in Aggregate demand brings about a down-ward multiplier effect i.e. a fall in incomes, output and employment, which may represent a fall in living standards. This is why, this is incorrect.

D: For deflation to exist, there must be a fall in consumer price index, thus making this incorrect.

22-B:

A – A rise in government expenditure on education represents government spending being done domestically, and since no outflows are occurring in the country's dealings with another country, there would not be an impact on the country's current account of Balance of Payments.

B – A rise in the cost of imported raw materials, will increase import expenditures relative to export revenues, as the quantity demanded will not contract by much, since the demand is inelastic, because of which, there will be a worsening effect on the Balance of trade of current account of Balance of payments, making this option correct

C – A rise in foreign ownership of domestic companies represents an inflow in the financial account of the Balance of Payment, making this option incorrect as this would lead to a reduction in deficit.

D – A rise in total wages earned by nationals working abroad will lead to a rise in net incomes, which will increase inflows, subsequently leading to a reduction in deficit.

23-A:

Balance of Trade in goods is contributing the most to the move from “**surplus**” to “**deficit**”

This is because, **Balance of trade** worsens by **66940**, which makes it evident that it is contributing to the deficit by most. “**62372-(-4568)**”

**Balance of trade in services also contributes to the deficit, but its contribution is by “34718”**. This means that it is not contributing to the deficit by most

Primary income( investment income) balance and transfers(secondary income) balance is already in deficit.

This is why, option A becomes correct

24-A:

The fact that the UK pound has depreciated against the US dollar from pound 1 to dollar 1.50 to pound 1 to dollar 1.00 means that apart from “depreciation of the UK pound”, the “US dollar has appreciated”

A – This is correct as now since now one pound can be exchanged for less dollars, this means that , dollars have become more expensive in terms of pounds.

B \_ The fact that the pound will be under-valued is not true, since there is no government intervention

C \_ UK imports from the USA will become more expensive, rather than them being cheaper

D \_ Since the US currency has appreciated, its imports from the UK will become more cheaper, thus making this incorrect too

25-D:

The fact that the country has no controls on transactions in foreign exchange represents that “no tools of protectionism” are used, or in other words, free trade is practiced , does not mean that “net-inward investment” will be zero (**thus making option A incorrect**)

Although, in a freely floating exchange rate system, there is a minimal requirement of foreign exchange reserves to maintain the value of the currency , this does not mean that the foreign exchange reserves will be zero ( **thus making option B incorrect**)

The current account of Balance of payment does not have to be zero (**making option C incorrect**), instead the overall Balance of payments position is zero, because the current account is balanced with the capital and financial account, just like a balanced sheet and:

Current account + capital + financial account = zero

This is why, option D becomes correct

26-C:

Between 2009-2010, the percentage increase in TOT is 7.2%

Between 2010- 2011, the percentage increase in TOT is 16.5%

Between 2011- 2012, the percentage increase in TOT is 7.6%

Overall, the TOT increases by 34.5%

A and B:

We cannot comment upon whether the export prices were 34.5% higher or import prices were 34.5% lower, because terms of trade can be influenced by both: export prices and import prices or any one of them, and we do not have data of import prices and export prices.

C- The terms of trade or the ratio of export prices to the ratio of import prices was 34.5% higher in 2012 than in 2009, is correct (134.5-100)

D – This is incorrect as the terms of trade increased by 7.6% during 2012

27-D:

A – This is a basic assumption of the principle of specialization on the basis of comparative advantage and international trade that there are no transport costs incurred

B -This is incorrect as the curves: PPC and TPC, deal with two products

C - This is incorrect as the curves: PPC and TPC are drawn as straight lines

D – This is correct, as the position of the curves is such that the trading possibility curve is inside the production possibility curve, it should instead be towards its right to attain the unattainable point in the short run, in order to obtain benefits from “gains of trade”

28-B:

We are interested in an option that results in an increase in Aggregate demand.

A - An increase in indirect taxes after having increased costs of production , and reducing Aggregate supply when results in an increase in prices, will lead to a fall in real incomes and in turn consumption expenditure, resulting in a decrease in Aggregate demand

B – Reducing the budget surplus represents a fall in tax revenues relative to government spending. When this is achieved through an increase in government spending, which represents injections into the circular flow, this will result in a rise in Aggregate demand, which makes option B correct

C \_ Removal of domestic subsidies represents a reduction in government spending, which will eventually result in a decrease in Aggregate demand.

D – Removal of import quotas means that more imports will be done, and when import expenditure rises at the expense of domestic consumption , that is, when domestic consumption decreases as consumers switch to imports, this will lead to a fall in Aggregate demand

29-A:

A – An increase in interest rates after increasing savings ratio, results in a reduction in consumption expenditure, also on imported goods, and a fall in import expenditure relative to export revenues will result in a reduction in the deficit

B – An increase in exchange rate, or in other words, appreciation when results in imports appearing relatively cheaper , would result in a rise in import expenditures, when the demand for them is elastic, and this subsequently leads to an increase in deficit

C – A reduction in direct taxes will lead to an increase in disposable income, and in turn, a rise in consumption expenditure on imported goods, resulting in a rise in import expenditures, which will result in an increase in deficit

D – A reduction in subsidies to domestic to domestic industries will increase the prices of exported goods and a fall in export revenues will result in an increase in deficit.

30-A:

Deflation is associated with a fall in Aggregate demand, in order to reverse which, the following policies will be effective:

Monetary policy tool: Devaluation:

A **devaluation** of the exchange rate ,may lead to export-oriented goods appearing relatively cheaper in the international market, and this global competitiveness may bring about an extension in the international quantity demanded of exported goods, and that too by a relatively higher percentage, when the demand for them is elastic, which leads to an increase in export-revenues, relative to import

expenditures which fall because now imported goods appear relatively cheaper, which results in a contraction in qty demanded of imported goods. This leads to a Balance of Trade Surplus, and these net-injections in to the circular flow, bring about an increase in Aggregate demand.

Fiscal policy tool:

Lower direct taxes:

A fall in direct taxes will increase the disposable income of consumers, which represents the actual purchasing power, as this is the income which can be spent or saved, leading to an increase in purchasing power and in turn consumer confidence, bringing about an increase in consumption expenditure by individuals, which causes the Aggregate demand to increase.

